# Emerging Managerial Challenges on Intellectual Property

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# What is Intellectual Property?

- Intellectual property (IP) refers to creations of the mind, such as **inventions**; **literary** and **artistic works**; **designs**; and **symbols**, **names** and **images** used in commerce.
- IP is protected in law by, for example, **patents**, **copyright** and **trademarks**, which enable people to earn recognition or financial benefit from what they invent or create.
- By striking the right balance between the interests of innovators and the wider public interest, the IP system aims to foster an environment in which creativity and innovation can flourish.

# Types of Intellectual Properties

**Four Types of IP**

- Copyrights
- Patents
- Trademarks
- Trade Secrets

# Copyright

- Copyright is a legal term used to describe the rights that creators have over their literary and artistic works.
- Works covered by copyright range from books, music, paintings, sculpture and films, to computer programs, databases, advertisements, maps and technical drawings
  - **Take away :** Make sure you copyright your work and your website while providing people a way to contact you so they can use your work with your permission.

# Patents

- A patent is an exclusive right granted for an invention.
- Generally speaking, a patent provides the patent owner with the right to decide how - or whether - the invention can be used by others.
- In exchange for this right, the patent owner makes technical information about the invention publicly available in the published patent document.
  - **Take away:** Protect your ideas and inventions with patents before sharing them with the world.

# Trademarks

- A trademark is a sign capable of distinguishing the goods or services of one enterprise from those of other enterprises.
- Trademarks date back to ancient times when artisans used to put their signature or "mark" on their products.
  - **Take Away:** It is best to register trademark s at your local and national government office responsible for trademark registration. Remember, a registered trademark must be renewed regularly to keep it “alive” and to protect your IP.

# Trade secrets

- Trade secrets are IP rights on confidential information which may be sold or licensed.
- The unauthorized acquisition, use or disclosure of such secret information in a manner contrary to honest commercial practices by others is regarded as an unfair practice and a violation of the trade secret protection.
  - **Take Away:** Protect your trade secrets. Keep employees on a need to know basis. If you're letting an employee go, make sure they don't have access to your client files after they have been terminated. To learn more about protecting your company and your trade secrets from corporate espionage check out this article from Inc.

# Ways to Protect Intellectual Property

## 1. Apply For Trademarks, Patents, and Copyrights

- Companies can protect their core management and R&D operations through intellectual property rights and registrations, and also have a better bargaining position for cross-licensing and counterclaims.
- Intellectual property rights and registrations also allow a corporation to obstruct competing goods, deter new entrants, and pave the way for future market share via technological advancements.

# Ways to Protect Intellectual Property

## 2. Never Stop Innovating

- Plagiarism will also be a problem in most industries.
- To some point, this explains why creativity makes such rapid evolutionary leaps.
- Your rivals would never be able to catch up to you if you have endless innovation loops.
- That would necessitate your business running lean and fast like an Olympic athlete.

# Ways to Protect Intellectual Property

## 3. Arrange Some Evidence While Innovating

- There are also several instances where rivals learn about an invention from leaks and request for a patent citing it as their own.
- You'll have to prove that you're the rightful owner as a consequence of it now.
- This can be accomplished by maintaining a log of evidence that documents the evolution of intellectual property rights (for example, dated and signed copies of drawings and drafts).

# Ways to Protect Intellectual Property

## 4. Separate Teams

- If at all feasible, the technical teams should be geographically divided, and it should be emphasized that neither of them has access to the whole product.
- In order to breach the product's protection and sanctity, all of these teams will have to work together to rob the whole product.
- Separation of duties is a fundamental principle of information security that can aid in the protection of intellectual property.

# Ways to Protect Intellectual Property

**5. Get the Intellectual Property Infringers Punished**

- Maintain patent and trademark security and enforce your rights by reporting violations and charging violators where the business situation requires it.

**6. Avoid Joint Ownership For Intellectual Property Rights**

- Make an effort to escape joint intellectual property rights. It is always beneficial for you to have control of your rights. In the long run, joint ownership of such rights can cause confusion and legal issues threatening the security of these assets, causing harm to all parties involved.

# Ways to Protect Intellectual Property

## 7. Create Awareness Among Your Employees Regarding Intellectual Property Security

- Awareness training will help fix and avoid possible Intellectual Property breaches, but only if it's tailored to the assets that a certain group of workers must protect.
- Humans, as is so often the case, are the weakest link of the defense chain. That is why an IP security strategy that relies solely on firewalls and copyrights while ignoring employee knowledge and preparation is doomed to fail.

# Managerial Challenges on Intellectual Property

- Here are the top five IP challenges faced by large corporations and ways to resolve them.

i. Creating valuable IP
ii. Managing IP portfolio
iii. Battling the competition
iv. Dealing with IP lawsuits
v. Profitability of IP departments

# Managerial Challenges on Intellectual Property

## i. Creating valuable IP

- A valuable IP portfolio secures its organization's existing product lines and aims to gain strategic advantage over other players in the market.
- For this, an enthusiastic and innovative R&D team needs to be properly fed with IP landscape insights and whitespaces in their industry.
- Also, an innovation-management process is needed to provide feedback to researchers about the feasibility and prospective value of their ideas.

# Managerial Challenges on Intellectual Property

## ii. Managing IP portfolio

- Management of IP portfolio is not merely restricted to paying maintenance fees for IP assets over respective terms, but also involves effective utilization of IP portfolio to achieve broader business objectives.
- An IP portfolio should be visualized and organized in a way that helps make right decisions timely.

# Managerial Challenges on Intellectual Property

## ii. Managing IP portfolio

- The correct IP-management strategy can enable corporates to identify the following:
  - Patents that may protect their current and future product offerings.
  - Patents that may help keep the current and future competition at bay.
  - Patents that can be used in licensing programs to generate revenue.
  - Patents that have become obsolete and need not be renewed to save on maintenance-fee costs.

# Managerial Challenges on Intellectual Property

### iii. Battling the competition

- Competitors consistently scout for evolving IP within their domain.
- This even manifests in duplication of innovative technology. Because of this, many market leaders often engage in court battles.
- While winning such court battles can garner competitive edge, losing eventually spoils the brand image and customer goodwill.
- Moreover, the emergence of new entrants to the market also affects the market share of existing innovators.

# Managerial Challenges on Intellectual Property

## iv. Dealing with IP lawsuits

- IP lawsuits arising from competition and non-practicing entities (NPEs) can cause major financial losses for a corporation besides putting its customer's goodwill and brand reputation at stake.
- IP lawsuits can be prevented with the help of freedom-to-operate (FTO) assessments. FTO helps analyse patents that can pose a threat to product launches.
- Making tweaks in products to overcome infringement or prior invalidity analysis and license negotiations for such threatening patents can save a lot of cost and reputation for any organization. Further, to avoid litigation from supply chain, contracts with suppliers need to have proper IP-indemnification clauses.

# Managerial Challenges on Intellectual Property

## v. Profitability of IP departments

- It is often tough to justify the role and valuable contributions of IP departments.
- Even though intangible assets have been known to contribute more towards the growth of an organization, many corporates fail to realize this and target such assets during budget cuts.
- The nationwide lockdowns induced due to recent global-health crises have shut the businesses and rendered their tangible assets ineffective.

# Managerial Challenges on Intellectual Property

**v. Profitability of IP departments…**

- However, intangible assets such as IP have helped many such corporates remain afloat during these trying times.
- IP departments have ensured that licensing programs kept generating revenue when the primary products or service offerings were largely inactive.
- Further, the contribution of IP assets to business units needs to be actively scrutinized by IP departments, and abandoning unprofitable IP can be an immediate cost-saving measure.